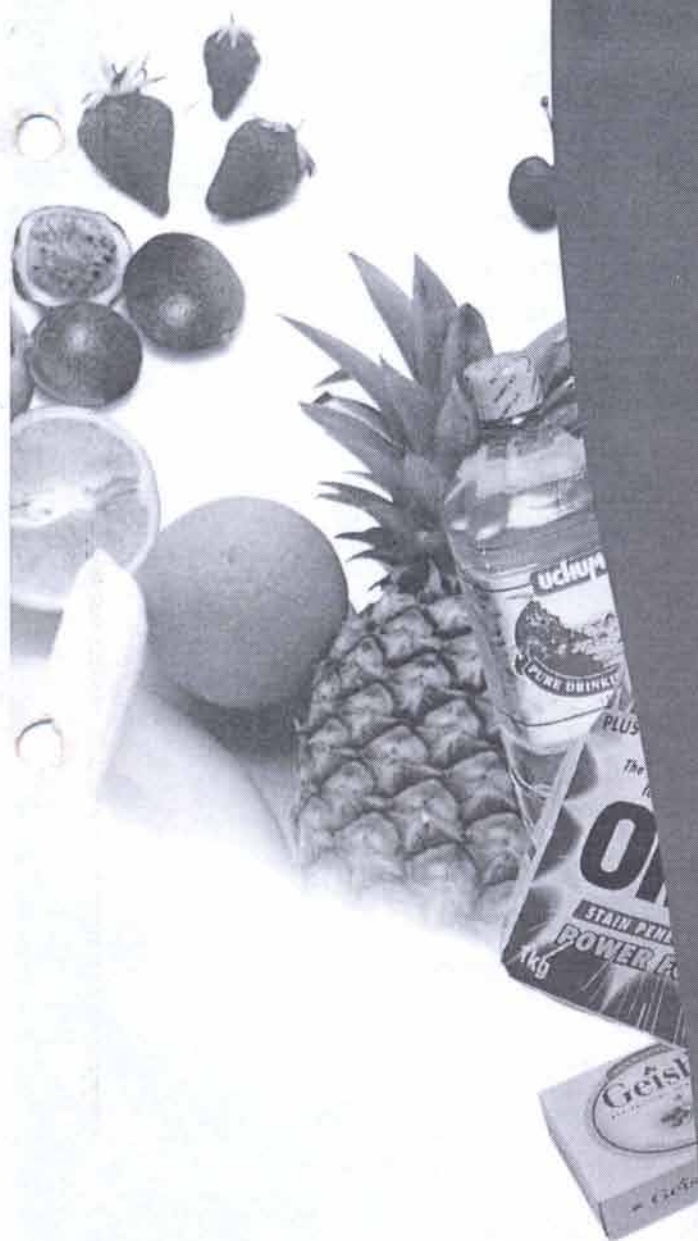


UCHUMI

SUPERMARKETS LIMITED



**ANNUAL REPORT
AND
ACCOUNTS
2002**



MISSION STATEMENT

Uchumi is the Nation's supermarket.
We are devoted to being the supermarket of
choice for all customers in Eastern Africa.

At Uchumi, the customer wins.
We provide an unmatched product range at great value.
We are committed to listening to our customers, and to
continuously enhancing the quality of our service.
We are dedicated to investing in growth across the region.

Our Promise to Customers:

There is, or soon will be, an Uchumi near you.
We will give you a world-class ambience and superb layouts.
We will achieve these aims through our people.
We will provide the best careers in retailing,
and our staff will be passionate about performance.
We will invest in leading-edge technology to deliver
best-in-class efficiency across all our operations.

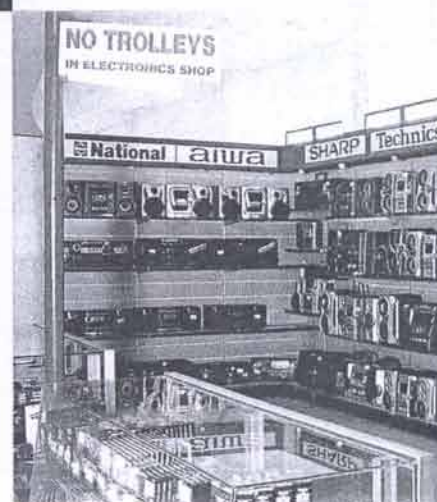
To our investors, we promise superior
returns and outstanding growth.

To the community, we pledge our commitment
to our heritage, trust, integrity and good citizenship.

UCHUMI: The Nation's Supermarket

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*Great
value
always*

UCHUMI

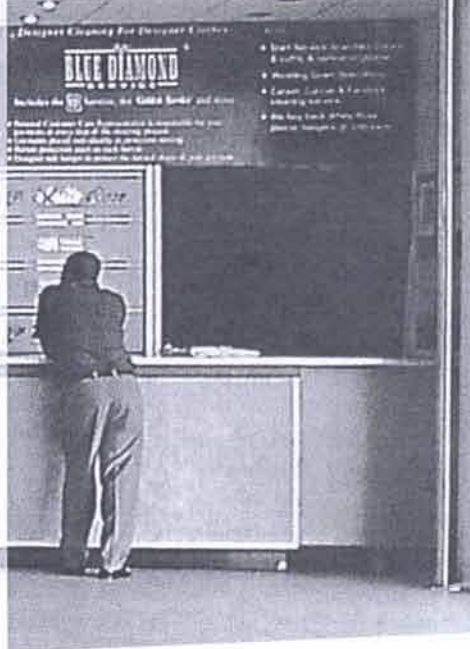


uchumi
PHARMACY



White Rose
East Africa's Professional Drycleaners

*The
one-stop
supermarket*



BOARD OF DIRECTORS



Chris J Kirubi
Chairman
Representing ICDCI Co. Ltd.



Kennedy Thairu
Managing Director



Dr Nehemiah Kipkoech Ng'eno
Representing ICDC



Dr Ernest Muinde Kioko



Dr Eddah Wacheke Gachukia



Nigel Ralph Pavitt



Paul Chemng'orem
Representing KWA Holdings (E.A) Ltd



Kipng'etich K Bett



Isaac Odundo Awuondo



Mary Ngari
Alternate to PS
Ministry of Trade & Industry



Isaac B Mogaka
Secretary

COMPANY INFORMATION

BOARD OF DIRECTORS

Chris J Kirubi (Chairman - appointed on 13 December, 2001, representing ICDC Investment Co. Limited)
Kennedy Thairu (Managing Director)
Industrial and Commercial Development Corporation
KWA Holdings (E.A.) Limited
Dr Eddah Wacheke Gachukia
Nigel Ralph Pavitt
Permanent Secretary - Ministry of Trade and Industry
Dr Ernest Muinde Kioko
Isaac Odundo Awuondo
Kipng'etich K Bett (appointed on 13 December, 2001)
Julius Muthamia (resigned on 13 December, 2001)

SECRETARY

I B Mogaka

AUDITORS

PricewaterhouseCoopers
Rahimtulla Tower
Upper Hill Road
P O Box 43963, Nairobi

REGISTERED OFFICE

Uchumi Supermarkets Limited
Supermarket Building, Aga Khan Walk
P O Box 73167, Nairobi

REGISTRARS AND TRANSFER OFFICE

Funguo Registrars Limited
Uchumi House, Aga Khan Walk
P O Box 45519, Nairobi

BANKERS

Kenya Commercial Bank Limited
Kencom House, Moi Avenue
P O Box 48400, Nairobi

Citibank N.A.
Citibank House, Upper Hill Road
P O Box 30711, Nairobi

Barclays Bank of Kenya Limited
Westlands Branch
P O Box 14403, Nairobi

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 24th Annual General Meeting of the Company will be held on Tuesday 17 December, 2002 at the Hilton Hotel, Nairobi, at 3.00 pm to transact the following ordinary business:

1. The secretary to read the notice convening the meeting.
2. To confirm the minutes of the previous Annual General Meeting.
3. To receive, and if thought fit, adopt the Accounts for the year ended 30 June, 2002 and the Report of the Directors' and that of the Auditors' thereon.
4. To confirm the payment of a first and final dividend of Shs. 0.50 per share in respect of the year ended 30 June, 2002.
5. To confirm the Directors' remuneration for the year ended 30 June, 2002
6. To elect Directors who retire by rotation and, who being eligible, offer themselves for re-election.
 - (i) ICDC Investment Company Limited
 - (ii) Mr. Isaac Odundo Awuondo
 - (iii) Dr. Eddah Wacheke Gachukia
7. To note that PricewaterhouseCoopers, having expressed their willingness, continue in office as auditors of the company in accordance with the provisions of section 159(2) of the Companies Act (Cap 486) and to authorize the Directors to fix their remuneration.
8. To transact any other business which may be transacted at an Annual General Meeting.

By Order of the Board

I B Mogaka
Company Secretary

29 August, 2002

NB: A member entitled to attend and vote at this meeting is entitled to appoint a proxy who need not be a member of the company.

ILANI YA MKUTANO KWA WENYEHISA WOTE

ILANI INATOLEWA KWAMBA Mkutano Mkuu wa mwaka wa ishirini na nne wa Kampuni utafanywa Jumanne tarehe 17 Desemba, 2002 katika Hilton Hotel, Nairobi, saa tisa alasiri kwa madhumuni ya kutekeleza shughuli za biashara za kawaida, zifuatazo:

1. Katibu kusoma ilani iliyoitisha mkutano.
2. Kuidhinisha yaliyozungumziwa kwenye mkutano mkuu wa awali.
3. Kupokea na ikistahili kupitisha hesabu ya mwaka ulioishia tarehe 30 Juni, 2002 pamoja na ripoti za Wakurugenzi na pia Wakaguzi wa vitabu.
4. Kuidhinisha malipo ya mgao wa mwanzo na wa mwisho wa Senti 50 kwa kila hisa kwa mwaka ulioishia tarehe 30 Juni, 2002.
5. Kuidhinisha malipo ya Wakurugenzi kwa mwaka ulioishia tarehe 30 Juni, 2002.
6. Kuwachagua Wakurugenzi ambao kwa kupishana wanastahili na wanajitolea kuchaguliwa tena.
 - (i) ICDC Investment Company Limited
 - (ii) Mr. Isaac Odundo Awuondo
 - (iii) Dkt. Eddah Wacheke Gachukia
7. Kutambua ya kwamba, PricewaterhouseCoopers, wakiwa wameonyesha ishara yao yakukubali kuendelea kushika hatamu kama wakaguzi wa kampuni kulingana na kanuni za kifungu 159(2) cha sheria za kampuni (486) na kuwapa kibali Wakurugenzi kuweka kipimo cha ujira wao.
8. Kuzungumza mambo mengine yoyote ya kampuni.

Kwa Amri ya Halmashauri

I B Mogaka
Katibu

Agosti 29, 2002

Kumbusho: Mwenyehisa anayestahili kuhudhuria mkutano anaweza kumchagua mwakilishi ambaye si lazima awe mwenyehisa wa kampuni hii.

CHAIRMAN'S STATEMENT

Chris J. Kirubi



The financial year 2001/2002 was yet another difficult period for the country's economy. Low investor confidence, economic governance issues, absence of effective measures to combat corruption and to ensure accountability and transparency, continued suspension of donor support and the global economic downturn did not all augur well. As a result the investment level remained depressed.

Consumer disposable incomes continued to decline as economic and Kenya's GDP growth recovery remained elusive although the economy improved from a negative growth to about 1% growth and, unemployment and poverty levels worsened. This in turn, contributed to a decline in total demand for goods and services.

Further, the shift in demand for more basic foodstuffs compared to non-food items by retail customers continued during the year.

The future prospects of our economy may be difficult to predict, particularly now with the various uncertainties that surround the political scene, the constitutional review and the resumption of donor support. But we remain optimistic that the current issues will be overcome and the new government will focus the necessary effort in the revival of the economy that will see business activity reactivated.

Turning to our business performance, under the difficult trading conditions, the Company registered a 1.1% growth in Gross turnover for the year at Shs 8.765 billion over the previous year's turnover of Shs 8.668 billion. Net turnover remained at the same level at Shs 7.9 billion due to increased value added tax incidence at the point of sale as more food and high volume items came under the designated taxable goods category.

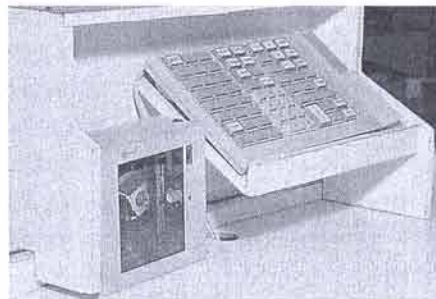
Our gross profit margins on the other hand improved over the previous year following initiatives undertaken by management during the early part of the financial

year and in partnership with some of our suppliers.

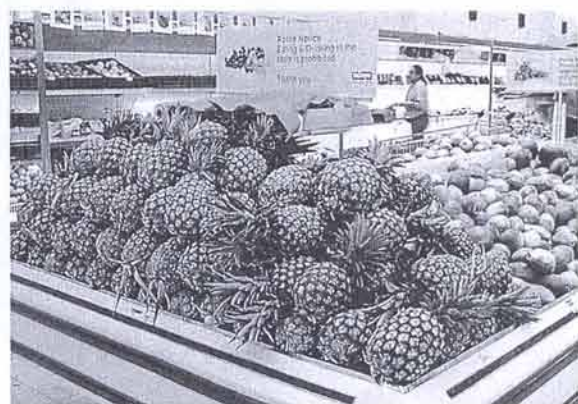
The result of this was a gross profit improvement from Shs 1.224 billion in the previous year to Shs 1.373 billion. However this increase was more than offset by increased operating costs during the year mainly attributable to the initial start up costs of the six new branches that were opened during the year. Operating

profit for the year as a result decreased from Shs 118.5 million to Shs 83.2 million. While a drop in interest income of Shs 35.5 million from Shs 32.5 million, attributable mainly to lower surplus funds, resulted in a further drop in profitability with profit before tax for the year at Shs 80.2 million against 2000/2001 pre-tax profit of Shs 151.1 million.

The financial year ended 30 June 2002 was the first year of the current five year strategic plan for our business. This plan, which addresses the protection of the group's leadership in the retail sector, growth in profitability and growth in shareholders return, had several milestones. Our branch network grew from 19 to 25 stores with most of the new stores opening in the latter part of the year and hence not contributing fully to the results for the year. We see the new branches contributing positively during their first full year of operation in the current period.



Modern state of the art point of sale equipment



A wide variety of fresh produce available in our outlets

CHAIRMAN'S STATEMENT (continued)

Elsewhere, in the area of our systems modernization, very positive developments are taking place and we are on schedule with the initial major implementation expected during the current year.

In pursuance of our strategy, we plan to open the first store in the regional market in Kampala, Uganda before the end of this calendar year. This outlet will offer world class service and facilities that match any other modern store in the world. Locally, our expansion programme is progressing well while modernization and mining of our existing stores will continue; the rationalization of our operating costs is another initiative that the Company is undertaking. Therefore we have committed ourselves to aggressive and challenging targets and expect to improve our financial results despite the difficult economic environment.

With the above in mind, our Company continues to maintain consistency in its policy on dividend payment each year since its public floatation in 1992, to the extent the Company's cash flow and cash commitments

allow. This year, despite the decrease in profit for the year, the Board of Directors recommend the payment of a first and final dividend of Shs 0.50 (or 10%) per Shs 5/= par value ordinary share for approval at the Annual General Meeting. The dividend, which is subject to withholding tax, will be paid on or about 20 December, 2002 to shareholders on the share register at the close of business on 21 November, 2002.

I wish to conclude by taking this opportunity to thank my colleagues in the Board, management and staff for their support and hard work in meeting the challenges of the times and in particular in steering the Company so as to achieve the current year's and future targets. Lastly, and on behalf of the Board of Uchumi Supermarkets Limited, I wish to express our appreciation and gratitude to our customers, shareholders and suppliers for their faith and continued support to our Company.

Chris J Kirubi
Chairman



Friendly ambience inside our new Langata Hyper

Mwaka wa hesabu wa 2001/2002 ulikuwa mwaka mwengine tena uliokuwa mgumu kwa uchumi wa nchi. Imani iloyopungufu kwa wachumishaji mali, mienendo ya uchumi, ukosefu wa usimamizi bora wa kuzuia ufasadi, kuhakikisha uhasibu na upeo bora, na uendeleshaji wa kusimamishwa kwa misaada na uchumi dhaifu ulimwenguni, haukuchangia vyema. Uchumishaji mali kwa jumla ulibaki chini.

Mapato ya matumizi ya wateja yaliendelea kupungua huku uchumi wa nchi ukibaki matatani ijapokuwa ukijaribu kujiendeleza kutoka kwa kuzo pungufu hadi kufikia asilimia 1.0 wakati viwango vya ukosefu wa kazi na umasikini vikizidi kuwa vibaya. Hivi basi, vilichangia kwa upungufu wa matakwa ya bidhaa na huduma. Pia, kusongea kwa matakwa zaidi ya bidhaa muhimu za vyakula ukilinganisha na bidhaa zisizo za vyakula baadhi ya wateja wa rejareja kuliendelea mwakani.

Ijapokuwa makadirio ya hali ya uchumi wetu yaweza kuwa magumu hasa hivi sasa kukiwa na hali ya kutoeleweka kinagaubaga muelekeo wa siasa, marekebisho ya katiba na kufufuliwa kwa misaada, tunatumai mambo yalivyo hivi sasa yatatatuliwa na serikali mpya itakayochunguza juhudi zitakiwazo ili ziwezeshe ufufuzi wa uchumi ambao utaelekeza biashara kuamka.

Tukirudi katika biashara yetu ilivyofanya na katika hali ngumu ya biashara, kampuni iliweza kupata ukuaji wa mauzo ya jumla ya asilimia 1.1 kwa mwaka, ikiwa ni shilingi bilioni 8.765 ukilinganisha na mwaka uliopita wa shilingi bilioni 8.668. Mauzo halisi yalibaki kuwa pale pale shilingi bilioni 7.9 kwa sababu ya ongezeko la ushuru wa bidhaa wakati wa mauzo, kwani vyakula vingi na bidhaa kubwa zilikusishwa kwenye kodi hii.

Faida yetu kwa jumla kwa upande mwengine ilinufaika

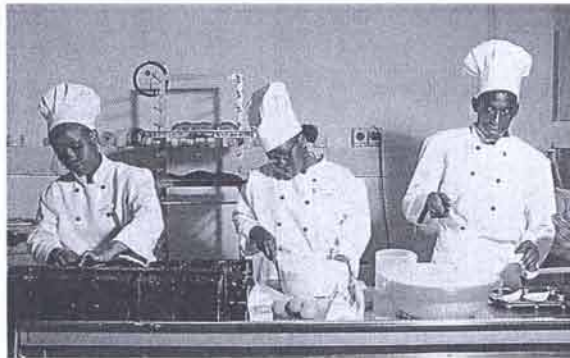
kuliko mwaka uliopita kutokana na juhudi za wasimamizi walizochukua kipindi cha mwanzo mwakani na kujihusisha na wanaotuuza bidhaa.

Kwasababu ya matokeo haya mazuri, faida ya jumla kutoka shilingi bilioni 1.224 mwaka uliopita hadi shilingi bilioni 1.373 ilipatikana. Ongezeko hili ingawaje lilienda sambamba na gharama ya matumizi mwakani, hasa kwa sababu ya gharama za uanzishaji wa matawi 6 mapya ambayo yalifunguliwa mwakani. Faida iliyotokana na utendajikazi mwakani, kwa

sababu hiyo, ilipungua kutoka shilingi milioni 118.5 hadi shilingi milioni 83.2. Wakati mapato kutokana na ridhaa yakiteremka kwa shilingi milioni 35.5 kutoka shilingi milioni 32.5, ikisababishwa sana na upungufu wapesa za ziada na kufanya kuteremka zaidi kwa faida ambapo faida kabla ya kodi mwakani ikiwa

shilingi milioni 80.2 ukilinganisha na mwaka uliopita ya shilingi milioni 151.1.

Mwaka uliomalizika tarehe 30, Juni 2002 ukiwa ndio mwaka wa kwanza baadhi ya mpangilio wa miaka 5 ya biashara yetu. Mpangilio huu, ambao unajihusisha na kutunza uongozi wetu wa jumla katika sekta ya biashara za reja reja, ukuzi wa faida na ukuzi wa mapato ya wanahisa yalipata mafanikio kadha wa kadha. Matawi yetu yameongezeka kutoka 19 hadi



In-house bakery facilities - producing freshly baked bread, pastries ...



A wide variety of toys available in our branches

TAARIFA YA MWENYEKITI

25 huku matawi mengi yakifunguliwa kipindi cha mwisho wa mwaka na kwahivyo hayakuweza kuchangia marudufu katika matokeo ya mwaka. Tunaona matawi haya mapya yakichangia vilivyo katika mwaka wao mzima wa utendajikazi katika kipindi hiki. Kwengineko katika kuimarisha huduma zetu maendeleo kabambe yanafanyika na tukotayari na mpangilio wakwanza mkubwa unaotarajiwa mwaka huu.

Kulingana na mpangilio huu, tunatarajia kufungua tawi la kwanza katika jumuiia huko Kampala, Uganda kabla ya mwisho wa mwaka huu. Hii, itatupatia nafasi ya kutoa huduma bora na vifaa vinavyolingana na maduka yakisasa ulimwenguni. Hapa kwetu nchini, mpango wetu wa kupanuka unaendelea vyema, huku tukiimarisha na tukizidi kuchambua maduka yetu itaendelea; kupunguza gharama za utendajikazi na hatua nyengine ambazo kampuni inachukua. Tumejizatiti wenyewe kwa kufuata mambo kwa juhudi na kupambana na makadirio na kutarajia kuendelea matokeo mazuri hata iwapo hali ya uchumi ni ngumu.

Tukiwa na haya akilini, kampuni yetu inaendelea kudumisha muongozo wake wa ulipaji migao kila mwaka tangu hisa zetu kuwa umma mwaka wa 1992,

iwapo hali ya fedha na matumizi yake yataruhusu. Mwaka huu, hata kutokana na faida pungufu, wakurugenzi wamependekezwa malipo ya mgao wa mwanzo na wa mwisho wa senti 50 (ama asilimia 10) kwa kila hisa ya shilingi 5, ikingojewa kuidhinishwa katika mkutano mkuu wa mwaka. Mgao ambao

nilazima utozwe kodi panapostahili, utalipwa mnamo tarehe 20 Desemba 2002 kwa wanahisa waliopo katika tarakimu ya wanahisa siku ya kufunga biashara tarehe 21 Novemba 2002.

Ningependa kumalizia kwa kuchukua nafasi hii kuwashukuru wenzangu katika Halmashauri, wasimamizi na wafanyi kazi kwa msaada wao na kazi ngumu ya kukabiliana na matatizo ya sasa na baadaye. Mwisho, kwaniaba ya Halmashauri ya Uchumi Supermarkets Limited, ningependa kutoa shukrani na

upendo kwa wateja wetu, wanahisa na wanaotutumia bidhaa, kwa uaminifu wao na kuendelea kuunga mkono kampuni yetu.

Chris J Kirubi
Mwenyekiti



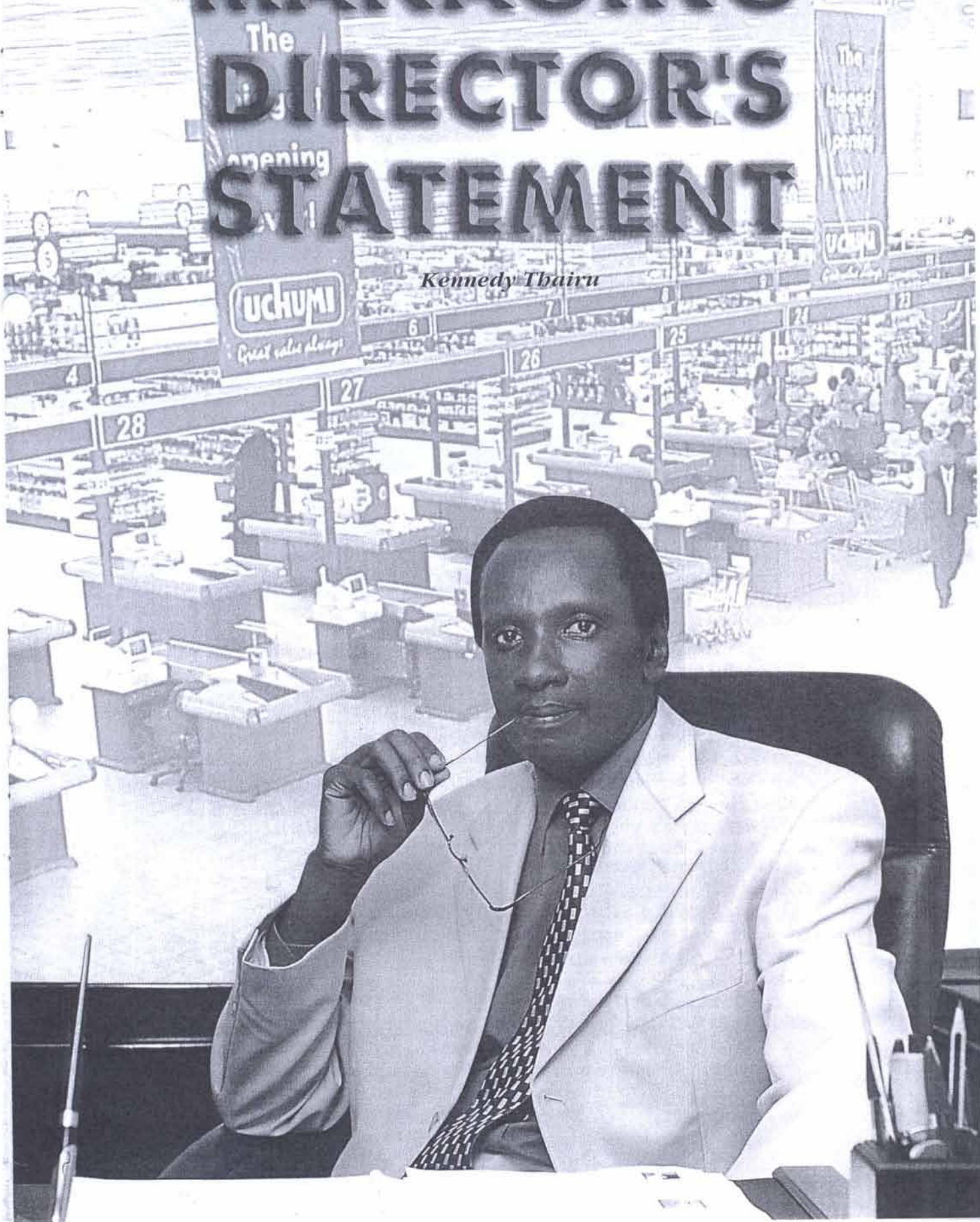
Our convenience branch at Parklands, Nairobi



A wide variety of magazines and cards

MANAGING The DIRECTOR'S Opening STATEMENT

Kennedy Thairu



MANAGING DIRECTOR'S STATEMENT

The retail sector maintained its buzz of activity during the first half of the financial year under review as the other key players in the market kept their advertising and promotional campaigns high. The campaign which was started in the previous year by our competitors was an attempt to change our market dominance. The competition sought to improve their market share and in particular within the Central Business District (CBD) area of Nairobi, through aggressive price discounts to customers. A fair and clean competitive environment, clear of contrabrand and untaxed products is a conducive environment for business.

Our leadership position, however, remained unshaken as our brand loyalty and brand building initiatives paid off during the year.

Consequently, and despite declining per household spend on both food and non-food items, mainly due to decline in demand and customers purchasing power owing to the unfavourable economic conditions and worsening poverty levels, we achieved a gross turnover growth as sales increased from Shs 8.668 billion in 2000/2001 to Shs 8.765 billion. However, with a lower pre-tax and after tax profit for the year, our earnings per share are lower at Shs 0.83 compared to Shs 1.49 in 2001.

The Board and management put together a comprehensive strategic plan before the beginning of the financial year and management began its implementation from July 2001. The strategy, whose overriding objective and goal is to grow shareholders return has its underlying themes under four perspectives; financial, customer perspective, internal processes, and, people and technology perspective. The growth in total shareholders return will be realized through efficient business growth that encompasses both revenue growth and productivity strategies. The core business themes of our strategy being:

- Growth of the business through new store locations
- Maximising customer value at least cost
- Realigning operations through people

- Realigning operations through Information Technology

The branch network expansion undertaken during the year was in line with the strategy. We moved to

locations that are more convenient for our customers by opening the Buru Buru and Parklands branches, both in residential areas, during the months of July and December 2001 respectively. We also opened the Railways branch and a second outlet in Mombasa – Bombolulu. Our third hypermarket on Langata Road, which is a one stop shopping destination that includes speciality shops, opened its doors to our customers on 8 December, 2001. The new hypermarket has continued to attract more



Pick & Mix sweets galore

customers since its opening.

Our fourth upcountry branch, in addition to the outlets in Nakuru and Eldoret, was opened in Meru towards the end of the financial year and has so far performed to expectation.

Our expansion programme will continue over the strategy period with a focus to having presence in strategic locations that we are not in presently.

The modernization of our IT systems for efficiency improvements is one key area that has began well. A retail operation requires systems that are flexible enough to handle a global operation, constantly changing inventory needs and the ever-changing nature of customer preferences. We therefore increasingly require systems to provide the solutions to these challenges. Systems that facilitate integration of data at various remote locations and provide users with the right information needed to make decisions. In a retail industry where competitive advantage is key, the solution that we have



Own brands -mineral water

MANAGING DIRECTOR'S STATEMENT (continued)

identified provides such an edge in all areas of our retail operation and addresses the challenges of the emerging global markets. Therefore we are investing in a leading edge technology through our currently ongoing implementation of, an Enterprise Resource planning solution in partnership with our selected consultants - Solit iNovations.

We believe this is a timely and right investment that will see benefits and efficiencies accruing to the business operations and, inevitably, improve profitability.

During the year, we also focused on enhancing skills of our human resource through employee training in key areas of customer service. The company recognizes the important role of having the right skilled manpower in all areas as key in its success. To this end, various training and development needs of our employees will continue to be identified and necessary training and skills provided. The combined effect of our investment in people and technology will pay off in cost reduction improvements.

In the area of merchandising, the newly established merchandise/marketing department has sharpened the business focus on the customer. The basic approach has been to concentrate on areas where we see opportunities to offer customers better value and thus achieve sustainable and profitable growth. Presently, this is being driven through initiatives to broaden the product range, regular promotional activity offering shoppers more value for money and a recently instituted customer service improvement programme. These investments in marketing will enhance the Uchumi brand equity which the business will benefit from both in the short and longer term.

Management continues to recognize the considerable contribution its trading partners have made to the development of the business. These partnerships will be further enhanced to ensure the basis of trading is on mutually profitable terms. New opportunities to partner with the Company have also been created through the Speciality partner concept which has enabled the Company to offer complementary goods

and services such as mobile phones and accessories, photo processing and dry cleaning (through partners such as Bata, Kodak, Kencell, Safaricom and White Rose Drycleaners).

Management will continue to drive programmes aggressively to improve business profitability. These include harnessing expected benefits from the ongoing modernization of processes and direct sourcing of merchandise. Benefits of the new systems will largely arise from better supply chain management.

Direct sourcing of merchandise from local and overseas manufacturers will benefit our customers by improving supply consistency and price stability. Additionally, opportunities to further reduce the cost of goods by sourcing from COMESA countries will be actively pursued.

Elsewhere in this annual report, we share with you our mission statement which spells out our values and principles. We also continue to be ranked in the Nation Media Group and PricewaterhouseCoopers survey of East Africa's most respected companies which we believe reflects and recognizes our aspirations.

Kennedy Thairu
Managing Director



Our new speciality shops - in partnership with Safaricom



Speciality shops - Kencell

TAARIFA YA MKURUGENZI MKUU

Sekta ya biashara ya reja reja iliendelea na shughuli zake katika kipindi cha kwanza cha nusu mwaka wa hesabu za mwaka tunazochunguza, wakati wahusika wenyewe wakijishughulisha zaidi na utangazaji na kampeni za bidhaa zao. Kampeni hizi zilianzia tangu mwaka uliopita baadhi ya wapinzani wetu ilikuwa njama ya kudidimisha umaarufu wetu. Mashindano yaliyohusu uendeleshaji wa umaarufu wao katika soko hasa katika jiji la Nairobi, kwa kutumia mbinu za upunguzaji bei kwa wateja. Mashindano yalio halali na masafi, uondoaji wa bidhaa bandia na zisizotozwa kodi, huleta hali njema ya biashara.

Muongozo wetu, ingawaje, ulibaki thabiti kwani utulivu wetu wa ujenzi wetu ulilipa ridhaa mwakani. Hivyo basi, na hata iwapo kulikuwa na upungufu wa ununuzi wa vifaa majumbani, wa vyakula na vitu vyisivyo vyakula, hasa kwa sababu ya upungufu wa mahitaji na uwezo wa ununuzi wa wateja kutokana zaidi na uzorotaji wa uchumi na umasikini, tuliwahi kupata ongezeko la mauzo ya jumla kutoka shilingi bilioni 8.668 mwaka wa 2000/2001 hadi shilingi bilioni 8.765. Hata hivyo, kukiwa na kodi kabla na baada ya faida mwakani, mapato yetu kwa kila hisa ni pungufu kufikia shilingi 0.83 ukilinganisha na shilingi 1.49 mwaka 2001.

Wakurugenzi na wasimamizi wakiwa wameweka mawazo yao pamoja kwa minajili ya mpangilio kabla ya mwanzo wa mwaka, walianza kutekeleza kuanzia Julai 2001. Mpangilio ulio na madhumuni na lengo la kukuza mapato ya wanahisa una kusudia kufanywa hivyo kwa njia 4 ambazo ni:- hali ya fedha, njia ya wateja, njia ya humu ndani na njia ya watu na teknolojia. Kukua kwa pato la wanahisa kwa jumla ambalo litapatikana kwa njia ya kukuza biashara inahusisha kukua kwa mapato na utendaji kazi. Mpangilio wa biashara yetu hasa ni:-

- Kukuza biashara kwa njia ya kufungua maduka mapya vijijini.
- Kutimiza kikamilifu mahitaji ya wateja kwa hali duni ya gharama.

- Kurekebisha utendaji kazi kwa kutumia watu.
- Kurekebisha utendaji kazi kwa kutumia njia ya teknolojia.

Upanuzi wa matawi uliochukuliwa mwakani ukosambamba na mpangilio tukiwa tunasonga zaidi karibu na wateja wetu, miezi ya Julai na Decemba 2001 tulifungua matawi huko Buruburu na Parklands yote yakiwa karibu na makao. Pia tulifungua tawi la

Railway na tawi la pili huko Mombasa - Bombolulu. Tawi letu la tatu baadhi ya masoko maalum, ambalo linafanya shughuli zote kwa mara moja, lilifungua milango yake kwa wateja tarehe 8 Desemba 2001 huko barabara ya Langata - Nairobi. Duka hili limeendelea kuvutia wateja wengi tangu lilipo funguliwa.



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Tawi letu la nne, huko bara, baada ya Nakuru na Eldoret, lilifunguliwa Meru kipindi cha mwisho wa mwaka na limefanya vyema kama tulivyokisia.

Mipango yetu ya upanuzi itaendelea mbele dhidi ya kipindi cha mpangilio tukikusudia kuwepo katika vijiji vyote muhimu ambapo hatuko hivi sasa.

Uimarishaji wa mitambo ya komputa kwa kutoa huduma bora ni jambo moja muhimu linaloendelea. Biashara ya reja reja inahitaji mitambo ambayo ina uwezo wa kubadilishwa kila wakati ili iweze kukabiliana na utendaji kazi ulimwenguni, na kubadilisha mahitaji, ya bidhaa na ya wateja mara kwa mara. Kwa hivyo tunahitaji mitambo ambayo itaweza kutoa suluhisho la makabilio haya. Mitambo itakayo weza kuchanganya habari kutoka vijiji tofauti na kuwapatia watumizi habari hii kuwawezesha kutoa uamuzi. Katika sekta ya biashara ya vitu vya reja reja ambapo ujuzi wa



Own brands - quality & value

mashindano ndio muhimu, suluhisho tulilotambua ndio ngao yetu katika utendaji kazi na huangazia makabilio ya masoko ulimwenguni. Kwa hivyo tunaji husisha na kampuni-Solit iNovations washauri wetu, ilituweze kujimudu kiteknologia.

Tuna hakika huu ndio wakati wa kuchumisha mali ambapo utatuletea faida kubwa kutokana na utendajikazi wa biashara na hivyo kuongeza faida.

Mwakani, tuliangazia kuhusu kuongeza ujuzi wa wafanyi kazi kwa kuwapatia mafunzo katika sehemu muhimu za utoaji huduma. Kampuni inafahamu umuhimu wa wafanyikazi wenye busara katika maeneo yote kama njia moja ya kufanikiwa. Hivyo basi, mafunzo mbalimbali na jinsi ya kujiendeleza kwa wafanyikazi wetu itaendelea kutambuliwa na mafunzo ya ujuzi yatatolewa. Matokeo ya uchumishaji mali kwa watu na teknolojia yatanufaisha kwa kupunguza gharama.

Katika eneo la bidhaa, sehemu mpya ya bidhaa/utafiti wa soko limepambua biashara kwa wateja. Njia tunayofuata imekuwa kujishughulisha zaidi na eneo tunaloona linafaa, ya kuwapatia wateja huduma bora na baadaye kupata faida wastani. Hivi sasa, hii huletwa na upanuzi wa bidhaa tofauti, usambazaji wa bidhaa kwa wanunuzi, kuwapatia faida nzuri kwa pesa zao na huduma bora zimepangwa hivi punde. Uchumishaji mali huu na utafiti wa soko utaendelea rasilmali ya uchumi, ambapo biashara itanufaika kote katika vipindi vifupi na hata virefu.

Wasimamizi wanaendelea kutambua changio kubwa la mashirika ya biashara. Washiriki hawa wataendelezwa zaidi ili kutambulikana kwamba shina la biashara ni kujiendelezwa sote kibiashara. Nafasi mpya ya ushirikiano imeundwa kupitia muundo mpya wa ushirikiano ambao umewezesha Uchumi kuwapatia bidhaa za shukrani, kwa mfano:- simu za mkono na vifaa vyake, bidhaa za uchapishaji picha na mitambo



Farm fresh produce

ya kusafisha nguo (kwa kushirikiana na mashirika kama Bata, Kodak, Kencell, Safaricom na White Rose Drycleaners).

Wasimamizi bado wataendelea kujibidiisha na mipango ya kuendelezwa biashara ya faida. Hii inahusu, kuendeleza faida zinazotarajiwa kutoka kwa uimarishaji wa huduma. Faida za mpango huu mpya itatokana zaidi kwa kuyapatia matawi yetu yote usimamizi bora.

Upatikanaji wa bidhaa moja kwa moja kutoka humu nchini na hata ng'ambo utasaidia wateja wetu kupata bidhaa wakati wowote na kwa bei marudufu. Laziada, nafasi ya kupunguza gharama za bidhaa kutoka kwa nchi za COMESA zitafuatwa.



Friendly check out service

Kwengineko kwenye ripoti hii ya mwaka, tunajumuika nanyi katika muongozo wetu unaotangaza thamani na msimamo wetu. Tunaendelea pia kuorodheshwa katika makampuni ya Nation Media

Group na PricewaterhouseCoopers kwenye utafiti wa makampuni bora katika jumuiya ya Afrika mashariki, ambayo twaamini yanaonyesha na kutambua lengo letu.

Kennedy Thairu
Mkurugenzi Mkuu

DIRECTORS' REPORT

YEAR ENDED 30 JUNE 2002

The directors submit their report together with the audited financial statements for the year ended 30 June, 2002 which disclose the state of affairs of the company and the group.

PRINCIPAL ACTIVITIES

The principal activity of the group is that of operating retail supermarkets. The group operates at the following outlets:

Market Branch	Eldoret Branch
Westlands Branch	Koinange Branch
City Square Branch	Ngong Hyper
City Square - Textile Division	Temple Road Branch
City Square - Household Division	Nairobi West Branch
Ngong Road Branch	Station Hyper - Mombasa
Kimathi Street Branch	Buru Buru Branch
Sarit Hyper	Railway Branch
Jogoo Road Branch	Bombolulu Branch - Mombasa
Taveta Road Branch	Langata Hyper
Langata Branch	Parklands Branch
Nakuru East Branch	Meru Branch
Nakuru West Branch	

RESULTS AND DIVIDEND

The results of the company are shown on page 21.

The directors recommend the approval of a first and final dividend of Shs 0.50 per share.

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the options available in Kenya to hedge against such risks.

The group has policies in place to ensure that sales are made to customers with an appropriate credit history.

DIRECTORS

The directors who held office during the year are shown on page 3. In accordance with Article 100 of the Company's Memorandum and Articles of Association, ICDC Investment Company Limited, Isaac Odundo Awuondo and Dr. Eddah Wacheke Gachukia retire by rotation and all being eligible, offer themselves for re-election.

AUDITORS

The company's auditors, PricewaterhouseCoopers, continue in office in accordance with Section 159(2) of the Companies Act.

By order of the Board

I B Mogaka
Secretary

29 August 2002

RIPOTI YA WAKURUGENZI

MWAKA ULIOMALIZIKA TAREHE 30 JUNI 2002

Wakurugenzi wanatoa ripoti yao pamoja na tarakimu ya hesabu zilizokaguliwa za mwaka ulioimalizika tarehe 30 Juni, 2002 ambazo zinaonyesha hali ya kampuni ilivyo.

SHUGHULI MAALUM

Kampuni hufanya biashara rejareja ya masoko maalum katika matawi yafuatayo:

Market Branch	Eldoret Branch
Westlands Branch	Koinange Branch
City Square Branch	Ngong Hyper
City Square - Textile Division	Temple Road Branch
City Square - Household Division	Nairobi West Branch
Ngong Road Branch	Station Hyper - Mombasa
Kimathi Street Branch	Buru Buru Branch
Sarit Hyper	Railway Branch
Jogoo Road Branch	Bombolulu Branch - Mombasa
Taveta Road Branch	Langata Hyper
Langata Branch	Parklands Branch
Nakuru East Branch	Meru Branch
Nakuru West Branch	

MATOKEO NA MGAO

Matokeo ya Kampuni yanaonyeshwa kwenye ukurasa wa 21.

Wakurugenzi wapendekeza kuidhinishwa kwa malipo ya mgao wa kwanza na wa mwisho wa Senti 50 kwa kila hisa.

MAKUSUDIO NA MUONGOZO WA USIMAMIZI WA MADHARA YA FEDHA

Shughuli za jumua hukabiliwa na madhara tofauti ya fedha, ikiwemo madhara ya upeaji pesa na mabadiliko katika madeni na bei ya rasimali, riba za ubadilishanaji fedha za kigeni na riba za faida. Ratiba ya jumua kwa jumla huchunguza jinsi masoko ya fedha yasivyoweza kubashiriwa na kutafuta upunguzaji hasara zaidi za fedha baadhi ya nafasi zilizopo nchini Kenya kujikinga na madhara hayo.

Jumua imeweka miongozo ili kuwezesha mauzo yafanyike kwa wateja walio thaminiwa tangu awali.

WAKURUGENZI

Wakurugenzi walioshika hatamu za ofisi mwaka huu wanaonyeshwa katika ukurasa 3. Kulingana na masharti ya Kampuni Nambari 100, ICDC Investment Company Limited, Isaac Odundo Awuondo na Dkt. Eddah Wacheke Gachukia wastaafu kwa zamu na wote wakistahili, wanajitolea kuchaguliwa tena.

WAKAGUZI

PriceWaterhouseCoopers wataendelea na kazi zao za ukaguzi wa kampuni hii kulingana na kanuni katika kifungu cha 159 (2) cha Sheria za makampuni.

Kwa Amri ya Halmashauri

I B Mogaka
Katibu

Agosti 29, 2002

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the company and of the group as at the end of the financial year and of the profit or loss of the group. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Accounting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of the group and of the profit of the group. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the twelve months from the date of this statement.

Kennedy Thairu
Director
29 August 2002

Chris J Kirubi
Director

Corporate Governance is the process and structure used to direct and manage the business affairs of a Company in order to enhance prosperity, corporate performance and accounting. The ultimate objective is the realization of shareholders' long-term value while taking into account the interest of other stakeholders.

The Uchumi Supermarkets Board of Directors is responsible for the good corporate governance of the Company and, is accountable to the shareholders for ensuring that the business complies with the highest standards of corporate governance and business ethics (the continued listing obligations and the CMA guidelines on corporate governance practices as may be published from time to time) and that business is conducted with integrity and in accordance with generally accepted corporate practice and principles. The role of the Board is to ensure conformance by focusing on and providing the groups overall strategic direction and policy-making; and, performance review through accountability and ensuring appropriate monitoring and supervision. The Board is also responsible for the overall system of internal control and for reviewing its effectiveness. The controls are designed both to safeguard the Group's assets and ensure the reliability of financial information. Set out below are the key features of the existing corporate governance practices within the Company.

Board of Directors

The Board meets at least six times a year. Its current membership is of one executive director who is the Managing Director and nine non-executive directors of the Board, who include the Chairman of the Board. All the directors other than the Managing Director are subject to periodic retirement and re-election in accordance with the Company's Articles of Association.

The directors are given appropriate and regular information to enable them maintain full and effective control over strategic, financial, operational and compliance issues. The Board has delegated authority for conduct of day to day business to the Managing Director except for direction and general policy guidance.

Committees of the Board

The Board has two committees which meet regularly under the terms of reference set by the Board.

The Finance and Audit Committee

The committee, which was set up in 2000, meets at least six times a year and additionally as required. It is chaired by a non-Executive Director, Mr. Isaac Awuondo. The committee's main responsibilities include: receiving and considering the Company's annual budgets and quarterly management accounts, adopting half-year interim results and annual financial statements, reviewing compliance with accounting standards, considering recommendations for capital expenditure, reviewing of proposals for opening of new branches, and financing. The committee also reviews with management and auditors the effectiveness of internal controls and matters raised in audit reports prior to their submission to the Board.

The Finance and Audit committee membership currently includes the Managing Director, five non-Executive Directors, besides its chairman, three members of management, with others attending as required.

The Staff Committee

The Staff committee of the Board is chaired by Mr. Nigel R. Pavitt, a non-Executive Director and its membership includes five non-Executive Directors, the Managing Director and four other members of management. The Committee meets at least quarterly or as required and is responsible for review of all human resource policies, approval of remuneration policy for employees, and, making recommendation to the Board on remuneration of senior management.

Internal Controls

The group has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information. These cover systems for obtaining authority for major transactions and for ensuring compliance with laws and regulations that have significant financial implications. Procedures are also in place to ensure that assets are subject to proper physical controls and that the organization remains structured to ensure appropriate segregation of duties.

Weekly senior management meetings are held to monitor and deal with operational issues, to improve communication and co-ordination in various business processes. Quarterly management meetings are also held to review performance and encourage participation from all in the Company's business.

In the area of social responsibility, the Company remains committed to meeting world class standards in promoting and being sensitive to the protection of the environment among other policies.

REPORT OF THE AUDITORS TO THE MEMBERS OF UCHUMI SUPERMARKETS LIMITED

We have audited the financial statements set out on pages 21 to 38. We have obtained all the information and explanations that to the best of our knowledge and belief were necessary for the purposes of our audit. The balance sheet of the company on page 23 is in agreement with the books of account.

Respective responsibilities of directors and auditors

The directors are responsible for the preparation of financial statements as set out on page 18. Our responsibility is to express an independent opinion on the financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

Opinion

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the group and of the company as at 30 June 2002 and of the group's profit and cash flows for the year then ended and comply with International Accounting Standards and the Kenyan Companies Act.

PRICEWATERHOUSECOOPERS 

Certified Public Accountants

Nairobi

29 August 2002

CONSOLIDATED PROFIT AND LOSS ACCOUNT

YEAR ENDED 30 JUNE 2002

	Notes	2002 Shs'000	2001 Shs'000
Sales	1	7,936,755	7,954,005
Cost of sales		(6,563,144)	(6,729,216)
Gross profit		1,373,611	1,224,789
Other operating income	2	92,151	78,565
Operating costs	3	(1,382,553)	(1,184,824)
Operating profit	4	83,209	118,530
Finance (costs) / income	6	(3,003)	32,552
Profit before tax		80,206	151,082
Tax	7	(30,542)	(61,884)
Net profit		49,664	89,198
		Shs	Shs
Earnings per share (basic and diluted)	8	0.83	1.49
		Shs'000	Shs'000
Dividends:			
Interim dividends – paid in the year	9	-	36,000
Proposed final dividend for the year	9	30,000	60,000
		30,000	96,000

CONSOLIDATED BALANCE SHEET

AT 30 JUNE 2002

	Notes	2002 Shs'000	2001 Shs'000
CAPITAL EMPLOYED			
Share capital	10	300,000	300,000
Share premium	10	129,452	129,452
Revaluation reserve	12	105,566	108,452
Retained earnings		362,551	340,001
Proposed dividends		30,000	60,000
Shareholders' funds		927,569	937,905
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14	1,146,647	742,602
Prepaid operating rentals	15	209,860	211,097
Deferred tax	11	-	1,910
Non-current receivables	18	19,464	4,370
		1,375,971	959,979
Non-current liabilities			
Deferred tax	11	4,910	-
		1,371,061	959,979
Current assets			
Inventories	19	853,833	707,325
Receivables and prepayments	20	146,162	77,582
Tax recoverable		55,868	78,170
Short term deposits	21	-	110,000
Cash and cash equivalents	21	108,131	15,429
		1,163,994	988,506
Current liabilities			
Payables and accrued expenses	22	1,270,810	1,010,580
Borrowings	23	336,676	-
		1,607,486	1,010,580
Net current liabilities		(443,492)	(22,074)
		927,569	937,905

The financial statements on pages 21 to 38 were approved for issue by the board of directors on 29 August 2002 and signed on its behalf by:

Kennedy Thairu
Director

Chris J Kirubi
Director

COMPANY BALANCE SHEET

AT 30 JUNE 2002

	Notes	2002 Shs'000	2001 Shs'000
CAPITAL EMPLOYED			
Share capital	10	300,000	300,000
Share premium	10	129,452	129,452
Revaluation reserve	12	105,566	108,452
Retained earnings		362,551	340,001
Proposed dividends		30,000	60,000
Shareholders' funds		927,569	937,905
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	14	1,146,647	742,602
Prepaid operating rentals	15	99,837	101,074
Investment in subsidiary company	16	200	200
Loan to subsidiary company	17	109,823	109,823
Deferred tax	11	-	1,910
Non-current receivables	18	19,464	4,370
		1,375,971	959,979
Non-current liabilities			
Deferred tax	11	4,910	-
		1,371,061	959,979
Current assets			
Inventories	19	853,833	707,325
Receivables and prepayments	20	146,162	77,582
Tax recoverable		55,868	78,170
Short term deposits	21	-	110,000
Cash and cash equivalents	21	108,131	15,429
		1,163,994	988,506
Current liabilities			
Payables and accrued expenses	22	1,270,810	1,010,580
Borrowings	23	336,676	-
		1,607,486	1,010,580
Net current liabilities		(443,492)	(22,074)
		927,569	937,905

The financial statements on pages 21 to 38 were approved for issue by the board of directors on 29 August 2002 and signed on its behalf by:

Kennedy Thairu
Director

Chris J Kirubi
Director

GROUP AND COMPANY STATEMENT OF CHANGES IN EQUITY

Notes	Share capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total Shs'000
Year ended 30 June 2001						
At 1 July 2000	300,000	129,452	32,508	343,376	138,000	943,336
Revaluation surplus	-	-	102,157	(2,027)	-	100,130
Deferred tax on revaluation	-	-	(24,289)	-	-	(24,289)
Transfer of excess depreciation to retained earnings	-	-	(3,046)	3,046	-	-
Deferred tax on transfer	-	-	1,122	(1,122)	-	-
Reversal of depreciation charge	-	-	-	3,530	-	3,530
Net gains not recognised in income statement	-	-	75,944	3,427	-	79,371
Net profit	-	-	-	89,198	-	89,198
Dividends:						
- Final for 2000 (paid)	-	-	-	-	(138,000)	(138,000)
- Interim for 2001 (paid)	-	-	-	(36,000)	-	(36,000)
- Proposed final for 2001	-	-	-	(60,000)	60,000	-
At 30 June 2001	300,000	129,452	108,452	340,001	60,000	937,905
Year ended 30 June 2002						
At 1 July 2001						
As previously stated	300,000	129,452	195,885	339,194	60,000	1,024,531
Prior year adjustment:						
- reversal of revaluation surplus on leasehold land	15	-	(125,899)	(2,027)	-	(127,926)
- reversal of deferred tax on revaluation	11	-	37,770	-	-	37,770
- reversal of excess depreciation transfer	-	-	696	(696)	-	-
- reversal of depreciation charge	-	-	-	3,530	-	3,530
As restated	300,000	129,452	108,452	340,001	60,000	937,905
Transfer of excess depreciation to retained earnings	11	-	(4,122)	4,122	-	-
Deferred tax on transfer	-	-	1,236	(1,236)	-	-
Net gains not recognised in income statement	-	-	(2,886)	2,886	-	-
Net profit	-	-	-	49,664	-	49,664
Dividends:						
- Final for 2001 (paid)	-	-	-	-	(60,000)	(60,000)
- Final for 2002 (proposed)	-	-	-	(30,000)	30,000	-
At 30 June 2002	300,000	129,452	105,566	362,551	30,000	927,569

CONSOLIDATED CASH FLOW STATEMENT

YEAR ENDED 30 JUNE 2002

	Notes	2002 Shs'000	2001 Shs'000
Operating activities			
Cash generated from operations	25	226,597	257,129
Interest received	6	8,542	31,630
Interest paid	6	(11,545)	-
Tax paid		(1,420)	(138,271)
Net cash from operating activities		222,174	150,488
Investing activities			
Purchase of property, plant and equipment	14	(516,403)	(265,938)
Proceeds from disposal of property, plant and equipment		255	69
Net cash used in investing activities		(516,148)	(265,869)
Financing activities			
Dividends paid		(60,000)	(174,000)
Net cash used in financing activities		(60,000)	(174,000)
Decrease in cash and cash equivalents		(353,974)	(289,381)
Movement in cash and cash equivalents			
At 1 July		125,429	414,810
Decrease		(353,974)	(289,381)
At 30 June	21	(228,545)	125,429

ACCOUNTING POLICIES

YEAR ENDED 30 JUNE 2002

The principal accounting policies adopted in the preparation of these financial statements are set out below:

(a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Accounting Standards (IAS). The financial statements are presented in Kenya Shillings (Shs) and prepared under the historical cost convention as modified by the revaluation of certain property.

(b) Revenue recognition

Sales are recognised upon delivery of products to customers and performance of services, and are stated net of VAT and discounts.

Interest income is recognised as it accrues, unless collectibility is in doubt.

(c) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise.

(d) Property, plant and equipment

All property, plant and equipment is initially recorded at cost. Freehold land and buildings are subsequently shown at market value, based on regular valuations by external independent valuers, less subsequent depreciation. All other property, plant and equipment is stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year, the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings on leasehold land	Over the lease period
Improvements to premises	10%
Plant and machinery	20%
Equipment and motor vehicles	15%, 20% and 25% (as applicable)

Freehold land is not depreciated as it is deemed to have an indefinite life.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit. On disposal of revalued assets, amounts in revaluation reserve relating to that asset are transferred to retained earnings.

(e) Accounting for leases

Leases of property, plant and equipment where the company assumes substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of fair value of the leased property and the estimated present value of the underlying lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding.

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

ACCOUNTING POLICIES (continued)

YEAR ENDED 30 JUNE 2002

(f) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the first-in, first-out (FIFO) method. Net realisable value is the estimate of the selling price in the ordinary course of business, less selling expenses.

(g) Trade receivables

Trade receivables are carried at amortised invoice amount less an estimate made for doubtful receivables based on a review of all outstanding amounts at the year-end. Bad debts are written off in the year in which they are identified.

(h) Employee entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

(i) Deferred tax

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

(j) Retirement benefit obligations

The company operates a defined contribution retirement benefit scheme for all its employees. The scheme is administered by an insurance company and is funded from contributions from both the company and employees.

The company's contributions to the defined contribution scheme are charged to the profit and loss account in the year to which they relate.

(k) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(l) Investments in subsidiaries

Investments in subsidiaries are carried in the company's balance sheet at cost less provisions for impairment losses. Where, in the opinion of the Directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

(m) Consolidation

Subsidiary undertakings, which are those companies in which the Group, directly or indirectly, has an interest of more than one half of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and consolidation ceases from the date of disposals or cessation of effective control.

A listing of the Group's subsidiaries is set out on Note 16.

(n) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year. In particular the comparatives have been adjusted to take into account the reclassification of leasehold land from property, plant and equipment to prepaid operating rentals.

NOTES TO THE FINANCIAL STATEMENTS

YEAR ENDED 30 JUNE 2002

1	Sales	2002	2001
		Shs'000	Shs'000
	Gross sales	8,765,681	8,668,474
	Less: Value added tax	(828,926)	(714,469)
		<u>7,936,755</u>	<u>7,954,005</u>
2	Other operating income	2002	2001
		Shs'000	Shs'000
	Promotions income	91,656	78,296
	Profit on sale of property, plant and equipment	255	29
	Miscellaneous income	240	240
		<u>92,151</u>	<u>78,565</u>
3	Operating costs	2002	2001
		Shs'000	Shs'000
	Branch operating expenses	874,936	748,461
	Administrative expenses	426,996	327,994
	Distribution costs	80,621	75,235
	Deficit on revaluation	-	33,134
		<u>1,382,553</u>	<u>1,184,824</u>
4	Operating profit	2002	2001
		Shs'000	Shs'000
	The following items have been charged in arriving at operating profit:		
	Depreciation on property, plant and equipment (Note 14)	112,358	91,511
	Operating lease rentals	170,561	148,580
	Staff costs (Note 5)	692,743	613,399
	Auditors' remuneration	2,700	2,417

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

5 Staff costs	2002	2001
	Shs'000	Shs'000
The following items are included within staff costs:		
Retirement benefits costs :		
- Termination benefits	-	1,304
- Defined contribution scheme	15,886	13,555

The number of persons employed by the company at the year end was 2,256 (2001: 1,749).

6 Finance (costs) / income	2002	2001
	Shs'000	Shs'000
Interest expense	(11,545)	-
Interest income	8,542	32,552
	(3,003)	32,552

7 Tax	2002	2001
	Shs'000	Shs'000
Current tax	23,722	66,932
Deferred tax (Note 11)	6,820	(5,048)
	30,542	61,884

The tax on the company's profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	2002	2001
	Shs'000	Shs'000
Profit before tax	80,206	151,082
Tax calculated at a tax rate of 30%	24,062	45,325
Tax effect of:		
Expenses not deductible for tax purposes	6,480	16,559
Tax charge	30,542	61,884

Further information about deferred tax is presented in Note 11.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

8 Earnings per share

Earnings per share is calculated by dividing the profit after tax attributable to shareholders by the number of ordinary shares in issue during the year.

	2002 Shs'000	2001 Shs'000
Profit attributable to shareholders (Shs'000)	49,664	89,198
Number of ordinary shares in issue (thousands)	60,000	60,000
Basic earnings per share (Shs)	0.83	1.49

There were no potentially dilutive shares outstanding as at 30 June 2002 or 2001.

9 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. At the annual general meeting to be held on 17 December 2002, a first and final dividend in respect of the year ended 30 June 2002 of Shs 0.50 per share amounting to a total of Shs 30,000,000 (2001: Shs 96,000,000) is to be proposed.

Payment of dividends is subject to withholding tax at a rate of either 5% or 10% depending on the residence of the respective shareholders.

10 Share capital	Number of shares (Thousands)	Ordinary share capital Shs'000	Share premium Shs'000
Balance at 1 July 2001 and 30 June 2002	60,000	300,000	129,452

The total authorised number of ordinary shares is 60,000,000 with a par value of Shs 5 per share. All issued shares are fully paid.

11 Deferred tax (Group and company)

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30%. The movement on the deferred tax account is as follows:

	2002 Shs'000	2001 Shs'000
At start of year		
As previously stated	35,860	(21,151)
Prior year adjustment:		
- credited to equity	(37,770)	-
As restated	(1,910)	(21,151)
Income statement charge/(credit) (Note 7)	6,820	(5,048)
Tax effect of revaluations	-	24,289
At end of year	4,910	(1,910)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

11 Deferred tax (Group and company) (continued)

Deferred tax assets and liabilities, deferred tax charge/(credit) in the profit and loss account, and deferred tax charge/(credit) in equity are attributable to the following items:

	1.7.2001 Shs'000	Charged/ (credited) to P/L Shs'000	30.6.2002 Shs'000
Deferred tax liabilities			
Property, plant and equipment:			
- on historical cost basis	(2,839)	1,070	(1,769)
- on revaluation surpluses	24,289	(1,236)	23,053
	21,450	(166)	21,284
Deferred tax assets			
Provisions	(23,360)	6,986	(16,374)
Net deferred tax (asset) / liability	(1,910)	6,820	4,910

Deferred tax of Shs 1,236,000 was transferred within shareholders' equity from revaluation reserves to retained earnings. This represents deferred tax on the difference between the actual depreciation on the property and the equivalent depreciation based on the historical cost of the property.

12 Revaluation reserve (Group and company)

The reserves arise from the revaluation of land and buildings and are non-distributable.

13 Commitments

Capital commitments

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	2002 Shs'000	2001 Shs'000
Property, plant and equipment	48,848	187,414

Operating lease commitments

The future minimum lease payments under non-cancellable operating leases are as follows:

	2002 Shs'000	2001 Shs'000
Not later than 1 year	171,057	171,316
Later than 1 year and not later than 5 years	658,134	308,018
Later than 5 years	194,397	67,287
	1,023,588	546,621

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

14 Property, plant and equipment

	Freehold land and buildings on lease-hold land Shs'000	Improve- ments to premises Shs'000	Plant and machinery Shs'000	Vehicles and equipment Shs'000	Capital work-in- progress Shs'000	Total Shs'000
Group						
Cost or valuation						
At 1 July 2001						
As previously stated	699,523	73,892	194,531	325,797	69,989	1,363,732
Reclassification of leasehold land (Note 15)	(339,023)	-	-	-	-	(339,023)
As restated	360,500	73,892	194,531	325,797	69,989	1,024,709
Additions	210,451	63,726	100,566	141,660	-	516,403
Transfers	60,585	-	-	9,404	(69,989)	-
Disposals	-	-	-	(818)	-	(818)
At 30 June 2002	631,536	137,618	295,097	476,043	-	1,540,294
Depreciation						
At 1 July 2001						
As previously stated	7,009	17,666	93,962	167,000	-	285,637
Prior year adjustment - reversal of depreciation charge	(3,530)	-	-	-	-	(3,530)
As restated	3,479	17,666	93,962	167,000	-	282,107
Charge for the year	9,809	10,052	39,169	53,328	-	112,358
On disposals	-	-	-	(818)	-	(818)
At 30 June 2002	13,288	27,718	133,131	219,510	-	393,647
Net book amount						
At 30 June 2002	618,248	109,900	161,966	256,533	-	1,146,647
At 30 June 2001	357,021	56,226	100,569	158,797	69,989	742,602

In the opinion of the directors, there is no impairment of property, plant and equipment.

The freehold land and buildings were valued in February 2001, by Lloyd Masika Limited, independent professional valuers. Valuations were made on the basis of open market value. The book values of the properties were adjusted to the revalued amounts and the resultant surplus, net of deferred tax, was credited to revaluation reserves.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

14 Property, plant and equipment (continued)

	Freehold land and buildings on lease-hold land Shs'000	Improve- ments to premises Shs'000	Plant and machinery Shs'000	Vehicles and equipment Shs'000	Capital work-in- progress Shs'000	Total Shs'000
Company						
Cost or valuation						
At 1 July 2001						
As previously stated	589,500	73,892	194,531	325,797	69,989	1,253,709
Reclassification of leasehold land (Note 15)	(229,000)	-	-	-	-	(229,000)
As restated	360,500	73,892	194,531	325,797	69,989	1,024,709
Additions	210,451	63,726	100,566	141,660	-	516,403
Transfers	60,585	-	-	9,404	(69,989)	-
Disposals	-	-	-	(818)	-	(818)
At 30 June 2002	631,536	137,618	295,097	476,043	-	1,540,294
Depreciation						
At 1 July 2001						
As previously stated	7,009	17,666	93,962	167,000	-	285,637
Prior year adjustment -reversal of depreciation charge	(3,530)	-	-	-	-	(3,530)
As restated	3,479	17,666	93,962	167,000	-	282,107
Charge for the year	9,809	10,052	39,169	53,328	-	112,358
On disposals	-	-	-	(818)	-	(818)
At 30 June 2002	13,288	27,718	133,131	219,510	-	393,647
Net book amount						
At 30 June 2002	618,248	109,900	161,966	256,533	-	1,146,647
At 30 June 2001	357,021	56,226	100,569	158,797	69,989	742,602

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

14 Property, plant and equipment (continued)

If all the freehold land and buildings were stated on the historical cost basis, the amounts would be as follows:

	Group and company	
	2002 Shs'000	2001 Shs'000
Cost	652,177	317,416
Accumulated depreciation	(32,215)	(25,595)
Net book amount	619,962	291,821

Bank borrowings are secured by a negative pledge on the company's property (Note 23).

15 Prepaid operating rentals

Following a clarification issued by the International Accounting Standards Board (IASB) in January 2002 and further guidance by the Institute of Certified Public Accountants of Kenya (ICPAK), the group now classifies leases of land as operating leases, whereas in previous years, such leases were classified as finance leases.

Previously, leasehold land has been carried at revalued amounts. Following the reclassification of leases of land, the revaluation surplus related to leasehold land has been reversed. The net historical book amount of leasehold land has been reclassified from property, plant and equipment to prepaid operating rentals. The effect of these changes is as follows:

	Group Shs'000	Company Shs'000
Carrying amount of leasehold land at 30 June 2001	339,023	229,000
Less:		
- adjusted against revaluation surplus	(125,899)	(125,899)
- adjusted against retained earnings	(2,027)	(2,027)
Balance reclassified to prepaid operating rentals	211,097	101,074

The movement in the carrying value of the prepaid operating rentals is as follows:

Balance reclassified from property, plant and equipment	211,097	101,074
Amortisation for the year	(1,237)	(1,237)
At 30 June 2002	209,860	99,837

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

16 Investment in subsidiaries (Company)

	2002 Shs'000	2001 Shs'000
Investment in Kasarani Mall Limited	200	200

The investment represents 10,000 shares of Shs 20.00 each held in Kasarani Mall Limited, a wholly owned subsidiary, which owns land on Thika Road.

The other subsidiaries, namely Uchumi Supermarkets (Tanzania) Limited, Uchumi Supermarkets (Uganda) Limited and Uchumi Holdings Limited did not have any transactions during the year. They have each issued only two shares of nominal amounts.

17 Loan to subsidiary (Company)

	2002 Shs'000	2001 Shs'000
Loan to Kasarani Mall Limited	109,823	109,823

The loan to Kasarani Mall Limited was advanced for the purpose of acquiring land. The land is on Thika Road and is held for the group's future expansion.

18 Non-current receivables (Group and company)

	2002 Shs'000	2001 Shs'000
Computerisation project prepayments	13,792	-
Other non-current receivables	5,672	4,370
	19,464	4,370

The current receivables relating to the above items are shown in Note 20. All non-current receivables are due within five years from the balance sheet date.

19 Inventories (Group and company)

	2002 Shs'000	2001 Shs'000
Food	279,086	239,116
Non-food	548,700	448,017
Other	18,209	15,669
Goods in transit	7,838	4,523
	853,833	707,325

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

20 Receivables and prepayments (Group and company)	2002 Shs'000	2001 Shs'000
Trade receivables	23,610	26,688
Less: Provisions for bad and doubtful debts	(15,510)	(16,087)
Trade receivables	8,100	10,601
Prepayments	41,968	27,735
Receivables from related companies (Note 26)	5,671	4,635
Other receivables	90,423	34,611
	146,162	77,582

21 Cash and cash equivalents (Group and company)	2002 Shs'000	2001 Shs'000
Cash at bank and in hand	108,131	15,429
Short term bank deposits		110,000
	108,131	125,429

The weighted average effective interest rate on short-term bank deposits during the year was 9.6 % (2001: 9.4%). For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks net of bank overdrafts. In the balance sheet, bank overdrafts are included in borrowings in current liabilities. The year-end cash and cash equivalents comprise the following:

	2002 Shs'000	2001 Shs'000
Cash and bank balances as above	108,131	125,429
Bank borrowings (Note 23)	(336,676)	-
	(228,545)	125,429

22 Payables and accrued expenses (Group and company)	2002 Shs'000	2001 Shs'000
Trade payables	1,052,580	858,561
Amounts due to related companies (Note 26)	23,688	13,247
Accrued expenses	40,056	30,096
Other payables	154,486	108,676
	1,270,810	1,010,580

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

23 Borrowings (Group and company)

All the borrowings are made up of bank overdrafts. The overdraft facilities are secured by a negative pledge on the company's property.

The weighted average effective interest rate at the year end was:

	2002	2001
- bank overdrafts	10,6%	-

In the opinion of the directors, the carrying amounts of borrowings approximate to their fair value. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the company at the balance sheet date.

The company has the following un-drawn committed borrowing facilities:

	2002 Shs'000	2001 Shs'000
Floating rate		
- expiring within one year	463,324	-

The facilities are renewable and are subject to review at various dates in the next 12 months.

24 Contingent liabilities

The group is a defendant in various legal actions. In the opinion of the directors, after taking appropriate legal advice, the outcome of such actions will not give rise to any significant loss.

25 Cash generated from operations

Reconciliation of profit before tax to cash generated from operations:

	2002 Shs'000	2001 Shs'000
Profit before tax	80,206	151,082
Adjustments for:		
Depreciation (Note 14)	112,358	91,511
Amortisation of prepaid rent	1,237	-
Profit on sale of property, plant and equipment	(255)	(29)
Loss on revaluation of property, plant and equipment	-	33,134
Interest income (Note 6)	(8,542)	(31,630)
Interest expense (Note 6)	11,545	-
Changes in working capital		
- receivables and prepayments	(83,674)	17,456
- inventories	(146,508)	172,393
- payables and accrued expenses	260,230	(176,788)
Cash generated from operations	226,597	257,129

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

YEAR ENDED 30 JUNE 2002

26 Related party transactions

The group is related to various other entities through common shareholdings and/or directorships. The following transactions were carried out with related parties:

	2002 Shs'000	2001 Shs'000
i) Sale of goods and services		
Industrial and Commercial Development Corporation	940	1,531
Other related parties	580	129
	1,520	1,660
ii) Purchase of goods and services		
Kenya Wine Agencies Limited	76,201	59,103
Other related parties	1,243	1,201
	77,444	60,304

Sales and purchases to/from related parties were made at terms and conditions similar to those offered to other customers and obtained from other suppliers.

(iii) Outstanding balances arising from sale and purchase of goods/services

	2002 Shs'000	2001 Shs'000
Receivables from other related parties	5,671	4,635
Payable to other related parties	23,688	13,247
iv) Loans to directors of the company		
At start of year	-	1,304
Loan repayments received	-	(1,304)
At end of year	-	-
v) Directors' remuneration		
- fees	360	360
- others	13,435	9,550

PRINCIPAL SHAREHOLDERS

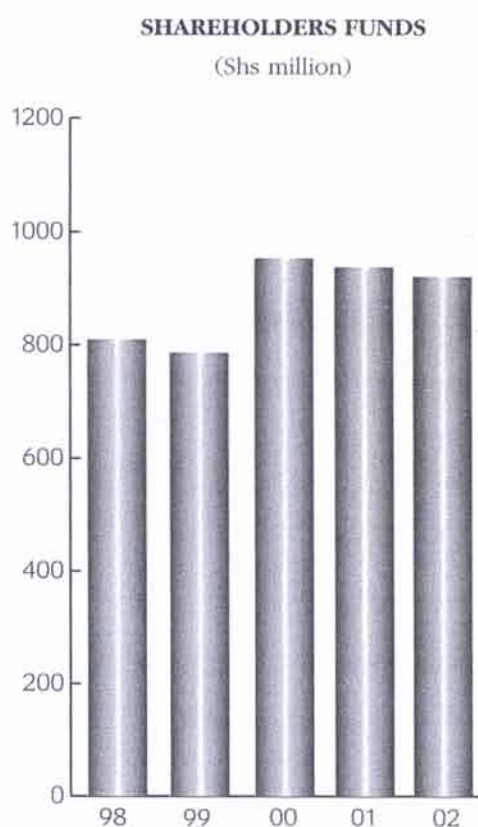
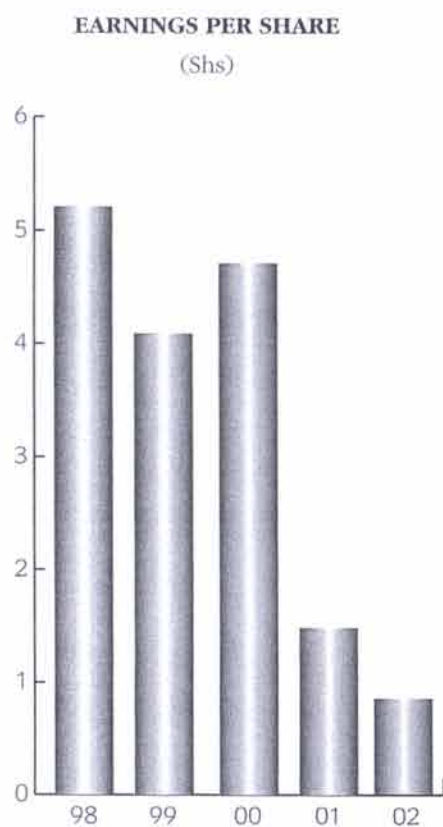
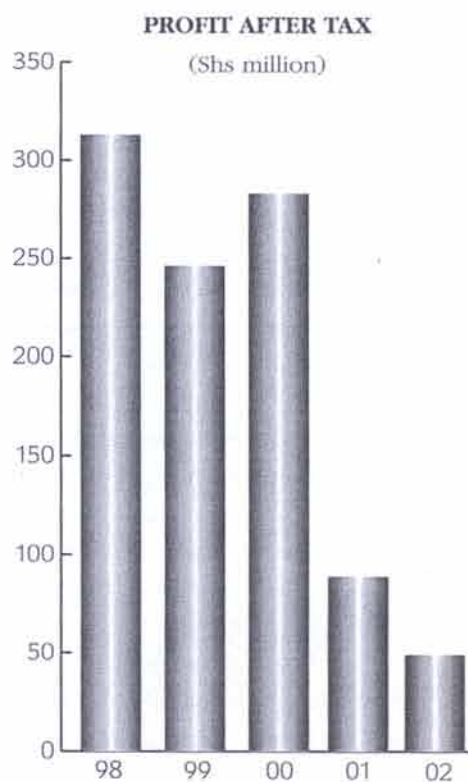
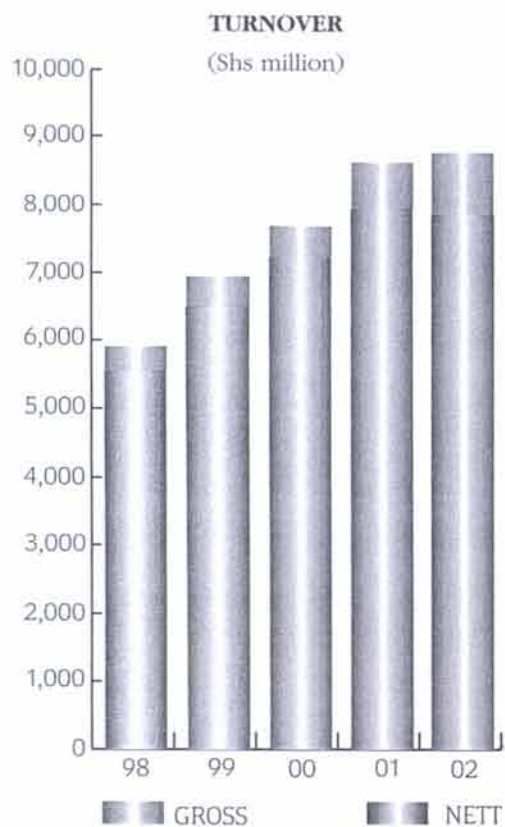
The twenty largest shareholders of the company and their respective holdings as at 22 August 2002 were as follows:

No.	Name	Number of shares
1	ICDC Investments Company Limited	14,992,817
2	KWA Holdings (E.A) Limited	11,250,000
3	Industrial and Commercial Development Corporation	4,669,369
4	Barclays Kenya Nominees Ltd. Ac 9099	2,003,000
5	Old Mutual Life Assurance Company Limited	1,890,713
6	Stanbic Nominees Kenya Ltd. Non resident Ac	1,814,388
7	Barclays Kenya Nominees Ltd. Ac 9057	1,795,430
8	Barclays Kenya Nominees Ltd. Ac 1853	1,012,500
9	Stanbic Nominees Kenya Ltd. Ac SCKPF	836,055
10	Barclays Kenya Nominees Ltd. Ac 1256	770,000
11	Insurance Company of East Africa Limited	645,690
12	Kimani John Kibunga	622,641
13	Orthodox Archbishopric of Kenya and Irinoupolis	513,912
14	Christopher John Kirubi	440,556
15	Barclays Kenya Nominees Ltd. Ac 1852	380,000
16	BID Investments Company Limited	350,000
17	Barclays Kenya Nominees Ltd. Ac 1782	305,960
18	Barclays Kenya Nominees Ltd. Ac 9190	288,600
19	Kiruma International Company Limited	207,371
20	Barclays Kenya Nominees Ltd. Ac 1523	198,251

Distribution schedule

Category	Number of shareholders	Number of shares
1 - 1,000 shares	3,955	2,232,892
1,001 - 5,000 "	1,686	3,413,064
5,001 - 10,000 "	167	1,171,476
10,001 - 100,000 "	193	5,746,190
100,000 and over shares	38	47,436,342
TOTAL	6,039	59,999,964

FINANCIAL HIGHLIGHTS





PROXY

I/We _____ Member No _____

of (address) _____

being a member/s of Uchumi Supermarkets Limited, hereby appoint _____

of (address) _____

or failing him the duly appointed Chairman of the meeting to be my/our proxy, to vote on my/our behalf at the 24th Annual General Meeting of the company to be held on Tuesday 17 December, 2002 at 3.00 p.m. or at any adjournment thereof.

As witness my / our hand / hands this _____ day of _____ 2002

Signature _____

- Notes:**
1. This proxy is to be delivered to the company's registered office not later than 3.00 p.m. on Friday 13 December, 2002 failing which it will be invalid.
 2. In case of a corporation, the proxy must be under its common seal.

UWAKILISHI

Mini / Sisi _____ Nambari ya Mwanahisa _____

wa (anuani) _____

kama mwanachama / wanachama wa Uchumi Supermarkets Limited, namchagua / tunamchagua _____

_____ wa (anuani) _____

akikosa yeye, basi namchagua / tunamchagua yule aliyechaguliwa kuwa mwenyekiti wa mkutano mkuu wa mwaka wa ishirini na nne wa kampuni utakayofanywa siku ya Jumanne, tarehe 17 Desemba, 2002 saa tisa alasiri ama siku yoyote ile iwapo mkutano utahairishwa.

Kama ushahidi ninatia / tunatia sahihi hii / hizi tarehe _____ Mwezi _____ 2002

Sahihi _____

- Ukumbusho:**
1. Uwakilishi huu utumwe kwa afisi kuu ya kampuni kabla ya saa tisa alasiri Ijumaa, tarehe 13 Desemba, 2002 ikikosa hivyo hautafaa kitu.
 2. Kwa upande wa makampuni, uwakilishi ni lazima uwe umebandikwa ule muhuri wao wa kawaida.

FOLD 2
PILI KUNJA HAPA

STAMP

COMPANY REGISTRAR
Uchumi Supermarkets Limited
Supermarket Building
Aga Khan Walk
P. O. Box 73167
NAIROBI

FOLD 1
KWANZA KUNJA HAPA

FOLD 3
HALAFU KUNJA HAPA

INSERT FLAP INSIDE
SASA INGIZA KARATASI HII NDANI YA MKUNJO KAMA BAHASHA

